

Economics Test –8

Q1. As per the theory of demographic transition, the post-transitional stage of demographic transition is characterised by _____.

A. low and nearly equal birth and death rates

- B. falling birth rates and high death rates
- C. high and nearly equal birth and death rates
- D. falling death rates and high birth rates

Solution: As per the theory of demographic transition, the post-transitional stage of demographic transition is characterised by low and nearly equal birth and death rates. The model has four stages: pre-industrial, urbanizing/industrializing, mature industrial, and post-industrial.

Q2. The government of India initiated the comprehensive family planning programme in the year _____

- A. 1960
- B. 1991
- C. 1952**
- D. 1982

Solution: India was the first country in the world to have launched a National Programme for Family Planning in 1952. Objectives: Lower fertility rates, Slow population growth as a means to push economic growth. Slogan, "Hum Do, Humare Do", for promoting the Two-Child Norm.

Q3. A _____ tank called the NITI Aayog was established to advise the government.

- A. ethical think
- B. social think
- C. religious think
- D. policy think**

Solution: policy think. NITI Aayog (National Institution for Transforming India) was founded on January 1, 2015 by replacing the erstwhile Planning Commission. The Prime Minister of India is the ex-officio chairman of NITI Aayog.

Q4. In which year was the Immunization Programme introduced in India as 'Expanded Programme of Immunization' (EPI) by the Ministry of Health and Family Welfare?

- A. 1982
- B. 1974
- C. 1978**
- D. 1980

Solution: The Expanded Programme on Immunization (EPI) was started in India in 1978 with the objective to reduce morbidity and mortality from tetanus, poliomyelitis, diphtheria, pertussis, and childhood tuberculosis by providing immunization services to all eligible children and pregnant women by 1990.

Q5. Which of the following statements is/are correct? I. Only marketed goods are considered while estimating Gross Domestic Product II. The work done by a woman at her home is outside the purview of Gross Domestic Product. III. In estimating GDP, only final goods and services are considered.

- A. Only II and III
- B. I, II and III**
- C. Only I and III
- D. Only II

Solution: Gross domestic product (GDP) is the monetary value of all finished goods and services made within a country during a specific period. Three types of GDP. Nominal GDP – the total value of all goods and services produced at current market prices. Real GDP – the sum of all goods and services produced at constant prices. Actual GDP real-time measurement of all outputs at any interval or any given time.

Q6. Banking regulation Act was passed in:

- A. 1959
- B. 1999
- C. 1949**
- D. 1967

Solution: 1949. The Banking Regulation Act, 1949 is a legislation in India that regulates all banking companies in India. It came into force on 16 March 1949 and changed to Banking Regulation Act 1949 from 1 March 1966. It is applicable in Jammu and Kashmir from 1956.

Q7. Under the Sukanya Samriddhi Account Yojana, minimum how much money needs to be deposited in one financial year?

- A. ₹150
- B. ₹250**
- C. ₹200
- D. ₹100

Solution: ₹250. The Sukanya Samriddhi Account (Girl Child Prosperity Account) is a Government of India-backed savings scheme aimed at parents of girl children. The scheme encourages parents to save for the future education and marriage of their daughters. It was launched by Prime Minister Narendra Modi on 22 January 2015 as part of the Beti Bachao, Beti Padhao campaign. The minimum deposit is ₹250, and the maximum deposit is ₹1.5 lakh in a financial year. The account can be opened in the name of a girl child until she attains the age of 10 years.

Q8. Which bank is referred to as 'The lender of last resort'?

- A. Central Bank**
- B. State Bank
- C. Dena Bank
- D. World Bank

Solution: Central Bank is referred to as 'The lender of last resort'. A lender of last resort (LoR) is an institution, usually a country's central bank, that offers loans to banks or other eligible institutions that are experiencing financial difficulty or are considered highly risky or near collapse.

Q9. Which sector was given the main emphasis in the second Five-Year Plan?

- A. Transport
- B. Agriculture

C. Trade

D. Industry

Solution: Second Five Year Plan (1956–61): Plan stressed rapid industrialisation and the public sector, It was drafted and planned under the leadership of P.C Mahalanobis . It emphasized quick structural transformation . The government imposed tariffs on imports to protect domestic industries under this plan. The target growth rate was 4.5% and the actual growth rate was slightly less than expected 4.27%.

Q10. Which of the following is a qualitative measure of credit control used by the Reserve Bank of India? A) CRR B) Moral Suasion C) SLR

A. Only A

B. Only B

C. Both B and C

D. Only C

Solution: Only B. Credit Control – The lending method used by the financial institutions and banks to lend money to customers. Qualitative measurement looks for patterns in non-numerical data. Examples – Marginal requirements, Regulation of consumer credit, Rationing of Credit, Moral Suasion, Direct Action. Quantitative measurement involves running statistical analysis on data that has numerical values. Examples – Open Market Operations, Bank Rate, Repo Rate, Reverse Repo Rate, Cash Reserve Ratio, Statutory Liquidity Ratio, Marginal standing facility, and Liquidity Adjustment Facility (LAF).

Q11. Import substitution strategy is commonly called

A. make in India campaign

B. outward looking trade strategy

C. balanced trade strategy

D. inward looking trade strategy

Solution: Inward Looking Trade Strategy – Trade and Economic policy that advocates replacing foreign imports with domestic production . Example – Instead of importing vehicles made in a foreign country, industries would be encouraged to produce them in India itself. It protects imports in two ways – Tariffs and Quotas. Outward-looking trade strategy : Direct transition from a simple, open trade policy to vigorous promotion of manufactured exports by all internationally tolerated means, without going through an intermediate phase of high protection.

Q12. Which of the following is an Indirect Tax in India?

A. Goods and Services Tax

B. Income Tax

C. Corporation Tax

D. Capital Gains Tax

Solution: Direct taxes – Income tax, corporate tax, wealth tax, gift tax, expenditure tax etc. Indirect taxes – Goods and Services Tax, sales tax, excise duty, VAT, service tax, entertainment tax, custom duty etc.

Q13. _____ is a tax system that collects a greater share of income from those with high incomes than from those with lower incomes.

A. Proportional tax

B. Regressive tax

C. Payroll tax

D. Progressive tax

Solution: Progressive tax is a tax system that collects a greater share of income from those with high incomes than from those with lower incomes. A proportional tax is an income tax system that levies the same percentage tax to everyone regardless of income. A regressive tax is a tax applied uniformly, taking a larger percentage of income from low-income earners than from high-income earners. Payroll tax can be defined as the tax that is withheld, charged, or levied on the payroll of the employer.

Q14. Which of the following schemes/programmes is not related to microfinance type of initiatives?

A. Ujjawala Scheme

B. Jan Dhan Yojna

C. Jeevika Project

D. Indira Kranthi Patham Programme

Solution: Ujjawala Scheme – A Comprehensive Scheme for Prevention of Trafficking and Rescue, Rehabilitation and Reintegration of Victims of Trafficking for Commercial Sexual Exploitation. Components: Rescue, Prevention, Rehabilitation, Re-integration, Repatriation. Ministry – Women and Child Development. Jan Dhan Yojana – Launched on 28th August 2014. SERP (Society for Elimination of Rural Poverty) is implementing Indira Kranthi Patham (IKP), a statewide community driven rural poverty reduction project to enable the poor to improve their livelihoods and quality of life through their own organizations.

Q15. Which of these is the correct reason for a goods to be identified as a final goods

A. It is not processed by a consumer after purchase.

B. It cannot be recycled or re-used.

C. It is in the last stage of the product life cycle.

D. It is not processed further by a producer

Solution: Goods – Items that satisfy human wants, provide utility or usefulness, and are scarce (have limited availability). Types – Final Goods (Consumer Goods) – They do not require further processing. Intermediate Goods – Used by businesses in producing goods or services.

Q16. When expenditure exceeds revenue, the budget is said to be in _____.

A. deficit

B. surplus

C. reserve

D. debt

Solution: When expenses exceed revenues there is a budget deficit . There are three types of budget deficit: Fiscal deficit, Revenue deficit, and Primary deficit. Surplus : the amount of an asset or resource that exceeds the portion that's actively utilized . Debt refers to the sum of money owed by one person and due to another person. Bank reserves refer to the minimum amount of cash banks must keep on hand for liquidity purposes .

Q17. The interest rate at which the Reserve Bank of India provides overnight liquidity to banks are called _____.

- A. Reverse repo rate
- B. Marginal standing facility rate
- C. Repo rate**
- D. Leverage rate

Solution: Repo rate can be defined as an amount of interest that is charged by the Reserve Bank of India while lending funds to the commercial banks. Reverse repo rate is said to be that rate of interest at which the central bank (RBI in India) borrows money from the commercial banks for a short term. Marginal Standing Facility (MSF) refers to the rate at which banks can borrow overnight funds from the RBI in exchange for authorized government securities. The term 'leverage ratio' indicates a set of ratios that point out a business's fiscal leverage in terms of its assets, liabilities and equity.

Q18. The first and most important role of _____ is that it acts as a medium of exchange product.

- A. product
- B. plan
- C. budget
- D. money**

Solution: money. Characteristics of Money : Fungible currency, Durable, Easily recognizable, Stability, Portable. Functions of Money: Used as a medium of exchange and it is the measure of value; Money is the standard of deferred payments, the transfer, and store of value; Distribution of social income, Basis of Credit Creation, Liquidity.

Q19. With progressive delicensing of industries as part of liberalisation, which of the following is the industry that is removed from the requirement of license?

- A. Cigars and cigarettes of tobacco, and manufactured tobacco substitutes
- B. Industrial explosives
- C. Hazardous chemicals
- D. Coal and lignite**

Solution: Coal and lignite. Mineral Laws (Amendment) Bill, 2020 provides that prior approval of the central government will not be required by the state government in granting licenses for coal and lignite. Industries subject to compulsory licensing in India: Tobacco items, Defense aerospace and warships, Hazardous chemicals, Industrial explosives.

Q20. Which of the following does NOT come under the category of Public Goods?

- A. Government administration
- B. Food items**
- C. National defence
- D. Roads

Solution: In economics, a public good refers to a commodity or service that is made available to all members of a society. Examples of public goods include fresh air, knowledge, lighthouses, national defense, flood control systems, and street lighting.

Q21. Which five-year plan of India was introduced under the leadership of Indira Gandhi ?

- A. Third
- B. First
- C. Second

D. Fourth

Solution: Fourth. The Gadgil Formula served as the foundation for the Fourth Five-Year Plan (1969–1974). It focused on the development of agriculture, industry, and infrastructure. First Five-Year Plan (1951–56): It was based on the Harrod Domar Model and emphasised increasing savings and was presented by the first Indian Prime Minister (Jawaharlal Nehru).

Q22. The Village and Small Scale Industries Committee is also referred to as the _____

- A. Mahalanobis Committee
- B. Munshi Committee
- C. Karve Committee**
- D. Chakravarty Committee

Solution: Karve Committee (set up in 1955). Mahalanobis Committee (1960) – To find an answer to the question of who benefited from the first and second five-year plans, as the per capita income of the people was not increasing. The Sukhamoy Chakravarty Committee (1982) – To review the working of the monetary system. Kanaiyalal Maneklal Munshi was the first Chairman of the Order of Business Committee of the Constituent Assembly.

Q23. Which of the following statements is correct regarding Depreciation ? I. Depreciation is termed as loss of value of fixed assets due to wear and tear during its useful life. II. Depreciation does not take into account unexpected or sudden destruction.

- A. Only I
- B. Both I and II**
- C. Neither I nor II
- D. Only II

Solution: Both I and II. Depreciation is an expense charged during a year for the reduction in the value of fixed assets, arising due to: Normal wear and tear out of its use and passage of time; and Obsolescence due to change in technology, fashion, taste and other market conditions.

Q24. Which of the following government schemes provides skill development training to youth in India ?

- A. Pradhan Mantri Jan Dhan Yojana
- B. Pradhan Mantri Kaushal Vikas Yojana**
- C. Deendayal Antyodaya Yojana (#d) P radhan Mantri Garib Kalyan Anna Yojana
- D. Pradhan Mantri Garib Kalyan Anna Yojana

Solution: Pradhan Mantri Kaushal Vikas Yojana . Initiated – 2015. Function – Provide Free short duration skill training. Objective – To encourage and promote skill development in the country. Administered by – National Skill Development Corporation (NSDC). Other Scheme on Skill Development – Employability Enhancement Training Programme (EETP) – 2013, run by All India Council for Technical Education (AICTE). National Employability Enhancement Mission (NEEM) – 2013 Initiated by AICTE.

Q25. Which of the following is a feature of globalisation ?

- A. Self-reliance
- B. Restrictions on expansion of public sector
- C. Liberalisation of import licensing**

D. Disinvestment

Solution: Liberalisation of import licensing. Globalization is the integration between countries through foreign trade and foreign investments by multinational corporations (MNCs). Peter Sutherland is known as the 'father of globalization'. Globalization in India (1991) was done by Manmohan Singh under leadership of PV Narasimha Rao. The three main pillars of Reform were: Liberalization, Globalization, and Privatization.

Q26. Which of the following statements is/are true about private goods? I. Rivalrous in consumption II. Non-excludability III. Negative marginal cost

- A. Only III
- B. Only I**
- C. Both II and III
- D. Only II

Solution: Only I. One person or household consumes a private good and is both excludable and rivalrous. This means that one person's consumption of the good prevents others from consuming it, and the provider can exclude others from using it. Examples include food, clothing, and cars. Public goods : Nonexcludability, and Nonrivalrous consumption. Examples - National defense, Street lights, Public Parks, etc.

Q27. Goods and services tax (GST) became operational from_____.

- A. 1 July 2017**
- B. 1 May 2016
- C. 1 April 2016
- D. 1 April 2017

Solution: 1 July, 2017. The Goods and Services Tax (GST) is a value-added tax . Article 279A - The President is empowered to constitute the GST Council by an order. Its Chairman is Union Finance Minister. Goods and services are divided into five different tax slabs for collection of tax: 0%, 5%, 12%, 18% and 28 % . However, petroleum products, alcoholic drinks, and electricity are not taxed under GST and instead are taxed separately by the individual state governments.

Q28. After independence, India launched its First FYP in 1951, under _____ influence of first Prime Minister Jawaharlal Nehru.

- A. socialist**
- B. capitalist
- C. Authoritarian capitalism
- D. Anarchism

Solution: Socialist. Five-Year Plans (FYPs) were centralised economic and social growth programs. Joseph Stalin, president of the erstwhile USSR, implemented the first Five-Year Plan in the late 1920s. India adopted the socialistic approach of planning through its Five-Year Plans, inspired by the economic planning model of the Soviet Union (USSR).

Q29. Which of the following statements is/are correct about speculative demand for money? I. It is Perfectly interest elastic II. It is Relatively interest elastic III. It is Perfectly interest inelastic IV. It is Relatively interest inelastic

- A. Only III and IV
- B. Only III
- C. Only I and II

D. Only II

Solution: only ii. Speculative demand for money : The desire to have money for the purpose of investing in assets. Inversely related to the rate of interest. If the rate of interest on loans is high then demand for money in the market is very less and vice-versa. Therefore, the curve of speculative demand for money is downward sloping to the right.

Q30. In which year was the Foreign Investment Promotion Board established ?

- A. 1960
- B. 1968**
- C. 1965
- D. 1991

Solution: 1968. The Foreign Investment Promotion Board (FIPB), housed in the Department of Economic Affairs, Ministry of Finance, is an inter-ministerial body, responsible for processing of FDI proposals and making recommendations for Government approval. In 1996, it was transferred to the Department for Promotion of Industry and Internal Trade (DPIIT) in the Ministry of Commerce and Industry. The Foreign Investment Promotion Board (FIPB) was replaced by the Foreign Investment Facilitation Portal (FIFP) in May 2017.

Q31. Which of the following is the function of the Reserve Bank of India ? I. Issuing of currency II. Lender of last resort

- A. Only II
- B. Both I and II**
- C. Only I
- D. Neither I nor II

Solution: Both I and II. The Reserve Bank of India (RBI) was established on April 1, 1935 in accordance with the provisions of the Reserve Bank of India Act, 1934. Headquarters : Mumbai. Other functions of the RBI : Banker's Bank, Banker of Government, Credit control.

Q32. What is the purpose of the Licensing Policy in India ?

- A. To promote benefits to a particular group
- B. To maintain the identity of an area
- C. To show power of the government
- D. To promote regional equality**

Solution: Aim of licensing policy is removing regional disparities. It also aims to establish, expand and ownership of private industries according to priorities of five-year plans and to check the monopoly tendency in industries. In India, it was first implemented in 1970. Licensing was abolished to a major extent in 1991. As of 2022, industries require compulsory licensing (Distillation and brewing of alcoholic drinks, Cigars and cigarettes of tobacco, Aerospace and defense equipment, Industrial explosives, and Hazardous chemicals).

Q33. Which of the following is a selective credit instrument ?

- A. CRR
- B. Bank rate
- C. Variable reserve ratio
- D. Credit rationing**

Solution: Credit rationing. It means limiting the availability of credit in the market. It is a qualitative measure through which the central bank fixes the credit limit for different business

activities in the economy. The variable reserve ratio is a monetary policy tool that central banks use to control credit and the money supply in the economy. It's made up of two components: the Cash Reserve Ratio (CRR) and the Statutory Liquidity Ratio (SLR).

Q34. Select the correct statement/s from the following. i. In the Tenth Plan period, the Indian economy grew at 7.7% per year. ii. The targeted growth for the Eleventh Five Year Plan was 9% per year. iii. In the Ninth Plan period, India realised a growth of 7.5% per year.

- A. ii and iii
- B. i and ii**
- C. i and iii
- D. Only iii

Solution: i and ii. The Tenth Plan period (2002–07) targeted 8% growth, and actual growth was 7.6%. The Eleventh Plan (2007–12) targeted 9% growth, with actual growth at 8%. During the Ninth Plan (1997–2002), the target was 6.5%, but actual growth was 5.4%.

Q35. The First Economic Census of India was conducted throughout the country, except Lakshadweep, during _____ in collaboration with the States/Union Territories (UTs).

- A. 1977**
- B. 1997
- C. 1967
- D. 1987

Solution: 1977. The Central Statistical Organization (CSO) conducted the first economic census in collaboration with the Directorate of Economics & Statistics (DES) in the States/Union Territories, except Lakshadweep. The Seventh economic census was conducted in 2019.

Q36. At the end of which of the following Five-year plans of India, five IITs were set up in the country ?

- A. Third
- B. Fourth
- C. First**
- D. Second

Solution: First. First Five-Year Plan (1951–56) – It was based on the Harrod Domar Model and emphasized increasing savings. It mainly addressed the agrarian sector, including investment in dams and irrigation. Example – Huge allocations were made for Bhakra Nangal Dam. The target growth rate was 2.1% and the achieved growth rate was 3.6%. The Five Year Plans were formulated, implemented and regulated by a body known as the Planning Commission. The Planning Commission was replaced by a think tank called NITI AAYOG in 2015.

Q37. In which year had India's ratio of public debt to GDP gone up to a record 84.2%?

- A. 1991
- B. 1999
- C. 2003**
- D. 2001

Solution: In 2003 India's ratio of public debt to GDP went up to

a record 84.2%. Gross domestic product (GDP) is a monetary measure of the market value of all the final goods and services produced in a specific time period by countries.

Q38. As per the Economic Survey, 2020, how many banks of India are there in the list of the top global 100?

- A. None
- B. One**
- C. Three
- D. Two

Solution: State Bank of India was at the 55th position. SBI was founded on 1st July 1955. SBI Chairman (May 2022) – Dinesh Kumar Khara.

Q39. Under the Mahatma Gandhi National Rural Employment Guarantee Act, how many minimum days of guaranteed wage employment in every financial year has to be provided to every household whose adult members volunteer to do unskilled manual work?

- A. 90
- B. 120
- C. 150
- D. 100**

Solution: 100. Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA): Launched in 2005 by the Ministry of Rural Development and was implemented in February 2006 under the UPA (United Progressive Alliance) government of Prime Minister Manmohan Singh. Minimum Wages Act (1948) – An Act of Parliament concerning Indian labour law that sets the minimum wages that must be paid to skilled and unskilled labours. Other Government Schemes: Pradhan Mantri Rojgar Protsahan Yojana (PMRPY) 2016, National Career Service (NCS) 2015, Pradhan Mantri Grameen Awaas Yojana 2015, National Social Assistance Programme 1995.

Q40. NABARD launched a special pilot project in 2004–05 called _____ mainly to fulfil the credit needs of the small and marginal farmers and tenant farmers.

- A. JLGs**
- B. MEDP
- C. SGSY
- D. BLP programme

Solution: JLGs (Joint Liability Groups). NABARD (National Bank for Agriculture and Rural Development): It is the apex banking institution to provide finance for Agriculture and rural development. Formation – 12 July 1982. Predecessor – Agricultural Refinance and Development Corporation. Headquarters – Mumbai. Owner – Ministry of Finance, Government of India. Purpose: Agriculture Development, Rural Development, Credit Planning, Refinance, Supervision of Regional Rural Banks, Supervision of Apex Cooperative Banks.

Q41. In which year was 'Self Help Group – Bank Linkage Programme' (SHG–BLP) introduced in India ?

- A. 1992**
- B. 1984
- C. 2000
- D. 1996

Solution: 1992. The Self-Help Group – Bank Linkage

Programme was launched by NABARD in 1992-93 to provide financial assistance to self-help groups (SHGs) in rural areas. NABARD (National Bank for Agriculture and Rural Development): Founded in 1982, is a development bank focused on promoting rural development and agriculture in India.

Q42. Which of the following is NOT a part of the institutional structure of rural banking ?

- A. Moneylenders**
- B. Regional rural banks
- C. Commercial banks
- D. Cooperative and land development banks

Solution: Moneylenders : Tertiary sector. The institutional structure of rural banking consists of a set of multi-agency institutions, namely, commercial banks, Regional Rural Banks (RRBs), co-operatives and land development banks, Self-Help Groups (henceforth SHGs) have emerged to fill the gap in the formal credit system.

Q43. Which of the following is a feature of the Self-Help group?

- A. The group takes care of the debt recovery.**
- B. There is a requirement of collateral.
- C. These groups are classified as commercial banks.
- D. The interest rates are generally high.

Solution: A self-help group (started in 2007) is a financial intermediary committee usually composed of 10 to 25 local women between the ages of 18 and 40. Self-Help Groups (SHGs) are informal associations of people who choose to come together to find ways to improve their living conditions. Features : To resolve conflicts through collective leadership and mutual discussion. The group takes care of the debt recovery. To provide collateral free loans with terms decided by the group at the market driven rates.

Q44. At a Regional Rural Bank, the share of the Government of India is _____.

- A. 40%
- B. 60%
- C. 50%**
- D. 20%

Solution: At a Regional Rural Bank, the share of the Government of India is 50%, Nationalised bank share is 35%, and state Government share is 15%. Regional Rural Banks (RRBs) are founded on 2nd October 1975. Regional Rural Banks (RRBs) are government owned scheduled commercial banks. Scheduled banks are banks that are listed in the 2nd schedule of the Reserve Bank of India Act, 1934.

Q45. Which of these is not a flow concept?

- A. Profit of a corporation
- B. Output produced by a firm
- C. Interest expense on loan
- D. Number of machines used in a factory**

Solution: Flow Concept : Quantity measured per unit at a particular period of time. Example : Income or Expenditure over a time period of one month or one year. Stock : Any quantity measured at a particular point of time. Example - Number of machines in a plant, amount in the bank account

on a specific date, etc.

Q46. Savings deposits with Post Office savings banks are included in which measure of money supply ?

- A. M1
- B. M4
- C. M2**
- D. M3

Solution: $M2 = M1 + \text{Savings deposits with Post Office savings banks}$. $M1 = \text{Currency (notes plus coins) held by the public} + \text{Net demand deposits held by commercial banks}$. $M3 = M1 + \text{Net time deposits of commercial banks}$. $M4 = M3 + \text{Total deposits with Post Office savings organizations (excluding National Savings Certificates)}$.

Q47. Which of the following is India's first Paperless Budget?

- A. Union Budget 2018-19
- B. Union Budget 2020-21
- C. Union Budget 2019-20
- D. Union Budget 2021-22**

Solution: Union Budget 2021-22 is India's first Paperless Budget. 2022-21 was also a paperless budget for the second year in a row. Finance Minister Nirmala Sitharaman presented the first paperless budget. Article 112 tells about the Union Budget. Article 202 tells about the state budget.

Q48. Women SHG member appointed as a banking agent is called _____.

- A. Bank Mitra
- B. Bank Dost
- C. Bank Sakhi**
- D. Bank NGO

Solution: Bank Sakhi. Self - Help Group (SHG) - An informal association of people who come together to find ways to improve their living conditions. They are generally self-governed and peer-controlled. Advantage - Offering support and encouragement, Facilitating personal growth, Promoting mental health. Projects - Self Employment Women's Association (1972) : Founder - Ela Bhatt. Aim - Organize Self employed women workers. NABARD (National Bank for Agriculture and Rural Development) (1982) - Aim - Supporting capital formation in agriculture. Swarn Jayanti Gram Swarozgar Yojana (1999). Aim - To provide sustainable income to the rural poor.

Q49. Which of the following Sustainable Development Goals (SDG) seeks to 'Protect, restore and promote sustainable use of terrestrial ecosystems, sustainably manage forests, combat desertification, and halt and reverse land degradation and halt biodiversity loss'?

- A. SDG 12
- B. SDG 7
- C. SDG 17
- D. SDG 15**

Solution: Sustainable Development Goal 15 seeks to protect, restore and promote sustainable use of terrestrial ecosystems, sustainably manage forests, combat desertification, and halt and reverse land degradation and halt biodiversity loss. SDG 12 : Ensure sustainable consumption

and production patterns. SDG 7 focuses on global efforts to ensure access to affordable, reliable, sustainable and modern energy for all. SDG 17 – "Strengthen the means of implementation and revitalize the global partnership for sustainable development".

Q50. When the general interest rate reaches a very low level, which of the following statements will be correct

A. Most people will expect the interest rate to rise in the future.

B. Most people will prefer to hold bonds.

C. Most people will speculate a further decline in the rate of interest.

D. Any increase in the money supply will cause the interest rate to fall further

Solution: Interest Rate – It is a cost of borrowing money, expressed as a percentage of the amount borrowed. Types – Fixed Interest – An unchanging rate charged on a liability, such as a loan or a mortgage. Variable Interest – It is based on an underlying benchmark interest rate or index that changes periodically.

Q51. The UN's Sustainable Development Goal 6 aims to

A. ensure healthy lives and promote well-being for all at all ages

B. ensure availability and sustainable management of water and sanitation for all

C. end poverty in all forms everywhere

D. take urgent action to combat climate change and its impact

Solution: The UN's Sustainable Development Goal 6 aims to ensure availability and sustainable management of water and sanitation for all. SDG 3 : Ensure healthy lives and promote well-being for all at all ages, profiles health as a desirable outcome in its own right. SDG 1 – end poverty in all forms everywhere. SDG 13 – take urgent action to combat climate change and its impact. The United Nations Sustainable Development Goals (UN SDGs, also known as the Global Goals) are 17 goals.

Q52. Which of the following statements(s) is true? A) Higher inflation means lower real GDP, ceteris paribus B) Price Index is 200 if nominal GDP and real GDP are the same

A. Only B

B. Both A and B

C. Only A

D. Neither A nor B

Solution: Only A. Real GDP : An inflation –adjusted measure that reflects the value of all goods and services produced by an economy in a given year. Real GDP is expressed in base-year prices. Nominal GDP is the GDP given in current prices, without adjustment for inflation. $\text{Real GDP} = (\text{Nominal GDP} / \text{Price Index}) \times 100$. The real GDP will always be less than the nominal GDP value (in case of positive inflation).

Q53. Which of the following is NOT a feature of National Income ?

A. It is a macroeconomic concept.

B. It is a flow concept.

C. It is always expressed with reference to the financial year.

D. It is included only in intermediate goods.

Solution: It is included only in intermediate goods. National Income is the total value of final goods and services produced by the normal residents during an accounting year, after adjusting depreciation. It is Net National Product (NNP) at Factor Cost (FC). Macroeconomics studies the behavior and performance of an economy as a whole. An intermediate good is a product used to produce a final good.

Q54. In the year _____, Indira Gandhi, the then Prime Minister of India, issued special stamps titled 'Wheat Revolution' to usher in the Green Revolution.

A. 1987

B. 1975

C. 1943

D. 1968

Solution: In the year 1968, Indira Gandhi, the then Prime Minister of India, issued special stamps titled 'Wheat Revolution' to usher in the Green Revolution. M.S Swaminathan is known as the father of the Green Revolution. Punjab is the largest producer of wheat in India.

Q55. During the period between 1950 and 1990, the proportion of GDP contributed by agriculture significantly _____.

A. doubled

B. remained constant

C. increased

D. declined

Solution: In India, between 1950 and 1990, the proportion of GDP contributed by agriculture declined significantly (67.5% in 1950 to 64.9% by 1990). As of 2022, the agriculture sector contributes roughly 14% of the country's total GDP. The service sector contributes most to the Indian Economy, i.e. 53.89% of total India's GVA (gross value added). The Industry sector contributes 25.92%.

Q56. The value of the Gross Domestic Product (GDP) of India is published by PIB in _____.

A. US Dollar

B. Yen

C. Yuan

D. Indian Rupee

Solution: The value of Gross Domestic Product (GDP) of India is published by PIB in Indian Rupee. Gross domestic product (GDP) is the standard measure of the value added created through the production of goods and services in a country during a certain period. GDP is defined by the following formula: $\text{GDP} = \text{Consumption} + \text{Investment} + \text{Government Spending} + \text{Net Exports}$.

Q57. According to the Output Method, GDP is calculated as:

A. GDP at Constant Prices – Taxes + Subsidies

B. GDP at Constant Prices + Subsidies

C. GDP at Constant Prices – Taxes

D. GDP at Constant Prices + Taxes – Subsidies

Solution: GDP can be calculated in three ways, using expenditures, production, or incomes. According to the Output Method, GDP is calculated as $\text{GDP at Constant Prices} - \text{Taxes}$

+ Subsidies. GDP is defined by the following formula: $GDP = Consumption + Investment + Government Spending + Net Exports$

Q58. The Service Tax, a tax on services like telephone services, stock brokers, health clubs, beauty parlors, dry cleaning services, etc., was introduced in _____.

A. 1994-95

B. 1993-94

C. 1991-92

D. 1992-93

Solution: 1994-95. Service tax is a tax imposed by the Government of India on services provided in India. The Dr. Raja Chelliah Committee on tax reforms recommended the introduction of service tax.

Q59. Reserve ratio and money supply have _____ relationship.

A. no

B. a negative

C. a linear

D. a symmetrical

Solution: a negative. As the reserve ratio increases, the money supply decreases, and vice versa. The Cash Reserve Ratio (CRR) is the percentage of a bank's Net Demand and Time Liabilities (NDTL) that must be maintained as cash reserves with the central bank. Quantitative tools of monetary policy - SLR (Statutory Liquidity Ratio), Repo rate, Reverse Repo Rate, Bank Rate.

Q60. A choice of goals has been made in each Plan due to:

A. unlimited resources

B. unlimited manpower

C. limitation of choice

D. limitation of resources

Solution: limitation of resources. Since resources are limited, it is essential to prioritize their allocation to the most important goals. This ensures efficient management and sustainable development. Economies must make choices because resources have alternative uses.

Q61. Which of the following functions of government budget is associated with distribution of income ? I. Allocation function II. Redistribution function

A. Only I

B. Neither I nor II

C. Both I and II

D. Only II

Solution: Redistribution of income - To close the income gap between rich and poor, several budgetary schemes are launched from the government's end. Fiscal instruments like subsidies, taxations, etc. are effectively used to achieve this goal. Government budget refers to an annual financial statement (under Article 112) that denotes its anticipated expenditure and expected revenue generation in a fiscal year.

Q62. Which of these is related to public goods?

A. The principle of excludability is applicable to its consumption.

B. There is a clear link between the producer and consumer which occurs through the payment process.

C. Its consumption is rivalrous in nature.

D. There is a possibility of free ridership in its consumption.

Solution: Public goods - A commodity or service that is provided without profit to all members of a society, either by the government or by a private individual or organization. National defense, effective policing, clean air, and public education are all examples of public goods. Private good - A product that must be purchased to be consumed, and consumption by one individual prevents another individual from consuming it. Examples - ice cream, cheese, houses, cars, clothing, food, movie tickets etc.

Q63. The Cabinet Committee on Economic Affairs (CCEA) approved an increase in the Minimum Support Prices (MSPs) for all mandated Rabi crops for the marketing season 2021-22 in line with the recommendations of the _____ Commission.

A. Kothari

B. Nanavati

C. Swaminathan

D. Mukherjee

Solution: Swaminathan Commission - The National Commission on Farmers (NCF) was constituted on November 18, 2004 under the chairmanship of Professor M.S. Swaminathan. Kothari Commission (National Education Commission), was an ad hoc commission set up by the Government of India to examine all aspects of the educational sector in India, to evolve a general pattern of education and to advise guidelines and policies for the development of education in India. Nanavati commission appointed to investigate the "killing of innocent sikhs" during the 1984 anti-Sikh riots. Mukherjee Commission - The Commission shall inquire into all the facts and circumstances related to the disappearance of Netaji Subhas Chandra Bose in 1945 and subsequent developments.

Q64. What does M stand for in MUDRA yojana?

A. Money

B. Major

C. Macro

D. Micro

Solution: Micro. MUDRA (Micro Units Development and Refinance Agency) scheme was launched in April 2015 to provide financial assistance to small and micro-enterprises. The scheme aims to promote entrepreneurship and create employment opportunities across the country. It offers loans under three categories - Shishu: Loans up to ₹50,000; Kishore: Loans from ₹50,000 to ₹5 lakh; Tarun: Loans from ₹5 lakh to ₹10 lakh.

Q65. What is the emigration of a significant proportion of a country's highly skilled, highly educated professional population to other countries offering better economic and social opportunities called?

A. Carrying capacity

B. Brain drain

C. Demographic transition

D. Closed population

Solution: Brain Drain is the movement of highly skilled and educated people to a country where they can work in better conditions and earn more money. Carrying capacity can be defined as a species' average population size in a particular habitat. Demographic transition is a long-term trend of declining birth and death rates, resulting in substantive change in the age distribution of a population. A closed population is a group that is not able to exchange members with different populations over time.

Q66. The 'Pradhan Mantri Annadata Aay Sanrakshan Abhiyan' (PM-AASHA) has _____ components to rationalise the government agricultural produce price and policy for efficiency, savings by way of reduction of wastages and leakages in storage and make fiscal gains.

- A. five
- B. three**
- C. two
- D. eight

Solution: The PM-AASHA scheme has three components and states can choose out of them. These three components complement the existing schemes of the Department of Food and Public Distribution. Schemes related to wheat, paddy and other cereals and coarse grains where procurement is at MSP.

Q67. In how many categories are loans provided under the MUDRA loan scheme ?

- A. 1
- B. 4
- C. 2
- D. 3**

Solution: 3. Pradhan Mantri Mudra Yojana (PMMY), launched in 2015, aims to support micro and small enterprises through three categories of loans: Shishu - Loans up to ₹50,000, aimed at new and micro enterprises. Kishore - Loans ranging from ₹50,000 to ₹5 lakh, for businesses in the growth phase. Tarun - Loans from ₹5 lakh to ₹10 lakh, for businesses looking to expand further.

Q68. 'Modernisation' as a goal of planning in context of the Indian economy was NOT aimed at:

- A. adopting a Western lifestyle**
- B. change in social outlook
- C. increase in production of goods and services
- D. use of new technology

Solution: adopting a Western lifestyle . Modernization is the process of updating something or making it work in a contemporary setting.

Q69. Which sector promotes modernisation and stable employment in the economy ?

- A. Service sector
- B. Agriculture sector
- C. Energy sector
- D. Industrial sector**

Solution: Industrial sector (The secondary sector) covers activities in which natural products are changed into other forms through ways of manufacturing that we associate with industrial activity. Examples of Secondary Sector - Industrial

production, cotton fabric, sugar cane production etc.

Q70. The second five-year plan emphasized rapid industrialization and the public sector. It was designed and planned under the leadership of _____.

- A. K.V. Sundaram
- B. C. Rajagopalachari
- C. Subramanian Swamy
- D. P.C. Mahalanobis**

Solution: P.C. Mahalanobis. He was the Architect of Indian Planning. He established the Indian Statistical Institute (ISI) in Calcutta and launched the journal Sankhya, a respected forum for statisticians. The second five-year plan (1956-1961) was based on the Mahalanobis model.

Q71. Who among the following first argued that in the face of high deficits, people save More?

- A. Amartya Sen
- B. Esther Duflo
- C. Adam Smith
- D. David Ricardo**

Solution: David Ricardo first argued that in the face of High deficits, people save more. David Ricardo was a classical economist best known for his theory on wages and profit, the labor theory of value, the theory of comparative advantage, and the theory of rents. Amartya Sen is famous for his significant contributions to welfare economics. Esther Duflo (Nobel Prize 2019) is a French economist who is renowned for committing her work towards finding solutions to end poverty and improve the welfare of the poor. Adam Smith became famous for his influential book The Wealth of Nations (1776).

Q72. In 2014, Bandhan Financial Services, microlender with Headquarters at _____, was granted in-principal approval by RBI to start a universal bank

- A. Kolkata**
- B. Mumbai
- C. Pune
- D. Lucknow

Solution: Kolkata. Bandhan Finance Service - Established - 2001. Founder - Chandra Shekhar Ghosh. Micro Lending Bank - Connect a borrower and lender for a non-traditional, smaller loan. Universal banking is a system of banking where banks undertake a blanket of financial services like investment banking, commercial banking, development banking, insurance and other financial services. ICICI Bank Limited is the first universal bank established in the country.

Q73. _____ is the most commonly used measure of money supply.

- A. M1
- B. M2
- C. M4
- D. M3**

Solution: M3. M3 is the most commonly used measure of money supply, also referred to as aggregate monetary resources. M1 and M2 are known as narrow money, while M3 and M4 are classified as broad money. M1 is the most liquid and easiest for transactions, whereas M4 is the least liquid.

M0, also known as Reserve money or high-powered money, represents the base money in the economy.

Q74. The Rural Landless Labour Employment Guarantee Programme (RLEGP) was started in which of the following Five-Year Plans ?

- A. Sixth**
- B. Seventh
- C. Fifth
- D. Fourth

Solution: The Rural Landless Employment Guarantee Programme (RLEGP) was launched on 15 August 1983 by Prime Minister of India Indira Gandhi during the Sixth Five-Year Plan (1980-85). This plan underlined the beginning of economic liberation by eliminating price controls. It was seen as the end of Nehruvian Socialism. On the recommendation of the Shivaraman Committee, the National Bank for Agriculture and Rural Development was established on 12 July 1982. The target growth rate was 5.2% and the actual growth rate was 5.7%, implying that it was a success.

Q75. The Balance of Payment Account of an economy is related to the _____.

- A. agriculture sector
- B. external sector**
- C. government sector
- D. private sector

Solution: The external sector is the portion of a country's economy that interacts with the economies of other countries. The external sector involves exports and imports. The Agriculture sectors comprise establishments primarily engaged in growing crops, raising animals, and harvesting fish and other animals from a farm, ranch, or their natural habitats. The private sector is the part of a country's economic system that is run by individuals and companies, rather than a government entity.

Q76. What is the time period of the Eleventh five-year plan in India ?

- A. 2007-2012**
- B. 2009-2014
- C. 2008-2013
- D. 2010-2015

Solution: 2007-2012. The 11th five year plan was aimed "Towards Faster & More Inclusive Growth". Target Growth rate - 9%. Actual Growth rate - 8%. The first five-year plan in India was launched in 1951. The Five Year Plans were formulated, implemented and regulated by a body known as the Planning Commission. The Planning Commission was replaced by a think tank called NITI AAYOG in 2015.

Q77. Which institution was established in 2015, in the place of the Planning commission of India ?

- A. NABARD
- B. NITI Aayog**
- C. RBI
- D. SEBI

Solution: NITI Aayog (National Institution for Transforming India) : Formed - 1 January 2015. Headquarters - New Delhi, Chairperson - Prime Minister. Other institutions: Planning Commission - (15 March 1950, New Delhi), National Bank for Agriculture and Rural Development (NABARD) - (12 July 1982, Mumbai), Reserve Bank of India (RBI) - (1 April 1935, Mumbai), Securities and Exchange Board of India (SEBI) - (12 April 1988, Mumbai).

Q78. Which of the following is NOT one of the four primary explicit goals of five-year plans ?

- A. Equity
- B. Education**
- C. Self-reliance
- D. Growth

Solution: Education. The model of the Indian Economy was premised on the concept of planning based on five year plans from 1951-2017. The Five Year Plans were formulated, implemented and regulated by a body known as the Planning Commission. Plan and Aim/Goal : First Plan (Economic development), Second Plan (Rapid industrialization - heavy & basic industries), Third Plan ('Self-reliant' and 'self-generating' economy), Fourth Plan (Growth with stability and progressive achievement of self reliance), Fifth Plan (Removal of poverty' and 'attainment of self reliance').

Q79. Which of the following programmes is NOT a part of the Tenth Five-Year Plan?

- A. National Horticulture Mission
- B. Drought Prone Area Programme**
- C. Micro Irrigation Programme
- D. Jute Technology Mission

Solution: Drought Prone Area Programme. It is a program that was launched by the Indian government in 1973-74 to help areas that are frequently affected by drought. The Tenth Five-Year Plan (2002-2007), led by Atal Bihari Vajpayee and Manmohan Singh, aimed to double India's per capita income within 10 years and reduce the poverty ratio to 15% by 2012. While the growth target was set at 8.0%, the plan achieved 7.6%. A key focus was reducing gender-based discrimination and enhancing training and employment opportunities for women.

Q80. The Gross Domestic Product of a country is derived from the different sectors of the economy, namely _____.

- A. commercial and trading sector
- B. rural and urban sectors
- C. agricultural sector, and the industrial sector only
- D. agricultural sector, the industrial sector and the service sector**

Solution: agricultural sector, the industrial sector and the service sector. Gross Domestic Product (GDP) is the monetary value of all finished goods and services made within a country during a specific period. Three Sectors of Economy : Primary Sector (agriculture, forestry, animal husbandry, fishing, poultry farming and mining), Secondary Sector (Quarrying and manufacturing of goods), Tertiary Sector (Trade, transport, banks, health, education and all types of services).